

Fudging and Pledging

Following the Satyam Computer accounting fraud, SEBI made it mandatory for companies to disclose the quantum of shares pledged by promoters. Understandably, promoters did not want the details of their share pledges to be made public as their stocks would become vulnerable to attacks by bear operators.

And howsoever strict the disclosure norms on pledged shares, they could be circumvented by promoters to some extent. For instance, promoters routinely hold shares in *benami* accounts, which are invisible to stock exchanges, investors and regulators. These accounts are maintained for a variety of reasons. In a rising market, the promoter could make money by selling shares in bulk from these accounts to fund houses. In a falling market, the promoter could buy shares of his company and store them in this account to stabilize the stock price.

Depending on their requirements, promoters pledged their shares with financiers, usually NBFCs, but at times with overseas investors too. Sometimes, what appears on paper as equity investments by lesser-known FIIs in many mid-cap companies are, in fact, structured share-pledge deals. The promoter transfers shares from his *benami* accounts to the FII's account and gets a loan against it. The promoter pays interest to this FII, either in the domestic or overseas market, as may be the arrangement. The advantage of this arrangement is that the promoter does not have to report to the stock exchanges that he has pledged his shares.

Bears are forever sniffing around for stocks where the promoters have pledged a substantial portion of their holdings and are using the money to